

ISDA, Collateral & OTC Derivatives

Understand the legal and operational framework used to control OTC counterparty exposure, margin calls and collateral movements.

1. What is collateral management?

ANSWER

Collateral management is the process of calculating exposure, determining required collateral under legal terms, issuing/receiving margin calls, moving assets, valuing positions and resolving disputes.

EXAMPLE

A derivatives counterparty with mark-to-market exposure may need to post eligible cash or securities.

2. Why is collateral required?

ANSWER

Collateral reduces counterparty credit exposure by providing assets that can be used to offset losses if the counterparty defaults.

EXAMPLE

A bank with 5 million exposure receives collateral to reduce unsecured risk.

3. What is eligible collateral?

ANSWER

Eligible collateral is the cash or securities permitted under the governing agreement, often subject to currency, credit quality, concentration and haircut rules.

EXAMPLE

An agreement may allow USD cash and certain government bonds but not equities.

4. What is a haircut?

ANSWER

A haircut reduces the collateral value credited for risk purposes to protect against market-value fluctuations or liquidation risk.

EXAMPLE

A bond worth 1 million with a 5% haircut provides 950,000 collateral value.

5. What is a margin call?

ANSWER

A margin call is a request to deliver additional collateral when calculated exposure exceeds agreed thresholds or requirements.

EXAMPLE

After adverse market movement, one party requests 2 million additional collateral.

6. What is a collateral dispute?

ANSWER

A dispute occurs when counterparties disagree about exposure, valuation, collateral balance, eligibility or call amount.

EXAMPLE

One firm calculates a call of 3 million while the counterparty calculates 2.4 million.

7. How do you investigate a collateral dispute?

ANSWER

Compare trade population, valuations, market data, FX, collateral balances, legal terms, thresholds, haircuts and timing. Isolate the largest drivers and reconcile them systematically.

EXAMPLE

A missing swap on one side explains most of the valuation difference.

8. What is collateral substitution?

ANSWER

Substitution replaces one collateral asset with another while maintaining required collateral value and satisfying eligibility rules.

EXAMPLE

A counterparty replaces government bonds with cash after approval.

9. What is collateral optimization?

ANSWER

Optimization selects collateral that meets legal requirements while minimizing funding, liquidity and opportunity cost.

EXAMPLE

A firm posts lower-cost eligible securities instead of scarce cash.

10. What is rehypothecation?

ANSWER

Where legally permitted and contractually allowed, rehypothecation is the reuse of received collateral by the collateral taker. It introduces legal and liquidity considerations.

EXAMPLE

A prime broker may reuse certain client collateral under agreed terms.

11. What is an ISDA Master Agreement?

ANSWER

It is a standardized legal framework widely used for OTC derivatives, setting common contractual terms across transactions between two parties.

EXAMPLE

Multiple swaps between two banks can be governed by one master agreement plus trade confirmations.

12. What is a CSA?

ANSWER

A Credit Support Annex is collateral documentation linked to an ISDA agreement that defines collateral terms such as eligible assets, valuation, thresholds, timing and dispute process.

EXAMPLE

The CSA specifies that USD cash is eligible and calls are exchanged daily.

13. What is netting?

ANSWER

Netting offsets obligations so only a net amount is payable or exposed, subject to contractual and legal enforceability.

EXAMPLE

Instead of paying 10 and receiving 8, the party pays net 2.

14. What is close-out netting?

ANSWER

On default/termination, covered transactions are valued and combined into a single net amount according to the agreement.

EXAMPLE

Several swaps with gains and losses are terminated and converted into one close-out balance.

15. What is mark-to-market exposure?

ANSWER

It is the current replacement-value exposure based on prevailing market values of outstanding trades.

EXAMPLE

If a swap has positive value of 4 million to the bank, the bank may have credit exposure before collateral.

16. What are collateral operational risks?

ANSWER

Risks include wrong calls, missed deadlines, incorrect legal terms, ineligible collateral, settlement failures, valuation breaks and poor dispute ageing.

EXAMPLE

A missed margin call can leave the firm under-collateralized overnight.

17. What lifecycle events occur in OTC derivatives?

ANSWER

Depending on product: resets, fixings, payments, amendments, novations, partial terminations, collateral calls, exercises and final maturity/termination.

EXAMPLE

An IRS has periodic floating-rate resets and payment dates.

18. What is a novation?

ANSWER

A novation transfers contractual rights and obligations from one party to another with required consent, replacing the original counterparty relationship for the novated trade.

EXAMPLE

A hedge fund transfers a swap position from one prime broker to another.

19. What is early termination?

ANSWER

It ends a derivative before scheduled maturity, requiring valuation and settlement of termination amounts under agreed terms.

EXAMPLE

A client closes an IRS two years before maturity and pays/receives the mark-to-market value.

20. Why is legal-documentation data important operationally?

ANSWER

Margin calculations and processing depend on accurate legal terms. Incorrect thresholds, currencies or eligibility data can create financial and legal exposure.

EXAMPLE

Loading the wrong threshold can generate incorrect margin calls every day.